

25STCV34865 25STCV34865

County: los-angeles

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Case Number: 25STCV34865 Hearing Date: July 28, 2026 Dept: 512

HEARING DATE: Tues., July 28, 2026 JUDGE /DEPT: Mkrtchyan/512

CASE NAME: Rbabs Investments #5, LLC v. De Well

Container Shipping, Inc.

COMPL. FILED: 12-01-25

CASE NUMBER: 25STCV34865

NOTICE: YES

PROCEEDINGS: DEMURRER

TO THE FIRST AMENDED CROSS-COMPLAINT

MOVING PARTY: Plaintiff/Cross-Defendant

Rbabs Investments #5, LLC

RESP. PARTY: Cross-Complainant De Well Container

Shipping, Inc.

DEMURRER TO THE FIRST AMENDED CROSS-COMPLAINT

(CCP § 430.41))

TENTATIVE RULING:

Plaintiff/Cross-Defendant

Rbabs Investments #5, LLC's Demurrer to the First Amended Cross-Complaint is OVERRULED.

Plaintiff/Cross-Defendant

Rbabs Investments #5, LLC must file an Answer to the First Amended Cross-Complaint within 20 days of this order.

Plaintiff/Cross-Defendant

Rbabs Investments #5, LLC is ordered to give notice.

SERVICE:

☐ Proof of Service Timely

Filed (CRC, rule 3.1300) YES

☐ Correct Address (CCP §§ 1013, 1013a) YES

☐ 16/21 Court Days Lapsed (CCP §§ 12c, 1005(b)) YES

OPPOSITION: Filed

on July 15, 2026 ☐

Late ☐ None

REPLY: Filed

on July 21, 2026 ☐

Late ☐ None

ANALYSIS:

I.

Background

On December 1, 2025, Plaintiff Rbabs Investments #5, LLC

("Plaintiff") filed the operative Complaint against Defendants De Well Container Shipping, Inc. ("DWCS") and DOES 1 to 100 (collectively, "Defendants"), asserting causes of action for: (1) Gross or Willful Negligence; (2) Negligence/Waste; (3) Negligence; (4) Negligence Per Se; (5) Breach of Lease; (6) Breach of the Implied Covenant of Good Faith and Fair Dealing; and (7) Indemnity, Contribution and Defense.

On March 4, 2026, DWCS filed its Answer to the Complaint.

On April 17, 2026, DWCS filed the operative First Amended Cross-Complaint ("FACC") against Plaintiff, Diversified Alarm Services ("DAS"); Hoffman Management & Construction Corporation ("Hoffman"); and ROES 1 to 10 (collectively, "Cross-Defendants"), asserting causes of action for: (1) Breach of Contract (Plaintiff); (2) Rescission based on Concealment; (3) Return of Security Deposit; (4) Breach of the Implied Covenant of Good Faith and Fair Dealing; (5) Concealment; (6) Breach of Contract (DAS); (7) Negligence.

Plaintiff/Cross-Defendant ("Rbabs")

now demurs to the FACC on the grounds that DWCS fails to allege sufficient facts to support the second, fourth, and fifth causes of action against it.

II.

Legal

Standard & Discussion

Prior to

filing a demurrer, the demurring party is required to meet and confer in person, by telephone, or by videoconference with the party who filed the pleading demurred to for the purposes of determining whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer. (Code Civ. Proc., § 430.41.)

Rbabs'

advances the declaration of its counsel of record, Elsa M. Horowitz, attesting to the following meet and confer efforts: "On May 8, 2026, I participated in a pre-scheduled telephonic meet and confer with Charles D. Jarrell, Esq. and Catherine L. Deter, Esq., counsel for cross-complainant De Well Container Shipping, Inc. ("Cross-Complainant" or "Tenant") to discuss defects in the second cause of action for rescission based on concealment; the fourth cause of action for breach of the implied covenant of good faith and fair dealing; and the fifth cause of action for concealment which are subject of this demurrer in the hopes that the issues could be resolved without a motion." (Horowitz Decl., ¶2.) The parties were unable to resolve these issues. (Id., ¶3.)

Thus, the Court finds that Rbabs' fulfilled its meet and confer obligation. The Court rules on the merits of the demurrer below.

"The primary function of a pleading is to give the other party notice so that it may prepare its case [citation], and a defect in a pleading that otherwise properly notifies a party cannot be said to affect substantial rights." (Harris v. City of Santa Monica (2013) 56 Cal.4th 203, 240.)

"A demurrer tests the legal sufficiency of the factual allegations in a complaint." (Ivanoff v. Bank of America, N.A. (2017) 9 Cal.App.5th 719, 725.) The Court looks to whether "the complaint alleges facts sufficient to state a cause of action or discloses a complete defense." (Id.) The Court does not "read passages from a complaint in isolation; in reviewing a ruling on a demurrer, we read the complaint 'as a whole and its parts in their context.' [Citation.]" (West v. JPMorgan Chase Bank, N.A. (2013) 214 Cal.App.4th 780, 804.) The Court "assume[s] the truth of the properly pleaded factual allegations, facts that reasonably can be inferred from those expressly pleaded and matters of which judicial notice has been taken." (Harris, supra, 56 Cal.4th p. 240.) "The court does not, however, assume the truth of contentions, deductions, or conclusions of law. [Citation.]" (Durell v. Sharp Healthcare (2010) 183 Cal.App.4th 1350, 1358.)

A general demurrer may be brought under Code of Civil Procedure section 430.10, subdivision (e) if insufficient facts are stated to support the cause of action asserted or under section 430.10, subdivision (a), where the court has no jurisdiction of the subject of the cause of action alleged in the pleading. All other grounds listed in Section 430.10, including uncertainty under subdivision (f), are special demurrers. Special demurrers are not allowed in limited jurisdiction courts. (Code Civ. Proc., § 92, subd. (c).)

A demurrer for uncertainty means the pleading is ambiguous or unintelligible. (Code Civ. Proc., § 430.10, subd. (f).) "A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures." (Khoury v. Maly's of California, Inc. (1993) 14 Cal.App.4th 612, 616.) "[D]emurrers for

uncertainty are disfavored and are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond.” (A.J. Fistes Corp. v. GDL Best Contractors, Inc. (2019) 38 Cal.App.5th 677, 695.)

Leave to

amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the complainant to show the Court that a pleading can be amended successfully. (Id.)

A.

Second Cause of Action for Rescission and Fifth Cause of Action for Concealment

“A party to a contract may rescind the contract in the following cases: (1) If the consent of the party rescinding, or of any party jointly contracting with him, was given by mistake, or obtained through duress, menace, fraud, or undue influence, exercised by or with the connivance of the party as to whom he rescinds, or of any other party to the contract jointly interested with such party.” (Civ. Code, § 1689, subd. (b)(1).) A pleading under Civil Code Section 1689 “is sufficient if, stripped of its conclusions, it sets forth sufficient facts to justify legal relief.” (Odorizzi v. Bloomfield School Dist. (1966) 246 Cal.App.2d 123, 127.) Specifically, the elements of a cause of action for fraudulent concealment are: (1) concealment of a material fact; (2) by a defendant with a duty to disclose; (3) the defendant intended to defraud by failing to disclose; (4) plaintiff was unaware of the fact and would not have acted as it did had it known the fact; and (5) damages.” (Butler America, LLC v. Aviation Assurance Company, LLC (2020) 55 Cal.App.5th 136, 144.) A concealment cause of action has a more relaxed specificity requirement as compared to affirmative misrepresentations because a concealment claim does not assert that Defendant actively or affirmatively defrauded the public in general or Plaintiff in particular. In fact, the rule of specifically pleading how, when, where, to whom and by what means, misrepresentations were communicated is intended to apply to affirmative misrepresentations and not to concealment. (Alfaro v. Community Housing Improvement System & Planning Assn, Inc. (2009) 171 Cal.App.4th 1356 at 1384.)

The FACC alleges, inter alia,
that Rbabs made the following false representations to DWCS in the lease agreement (the "Lease"):

"[T]he existing electrical, plumbing,
fire sprinkler, lighting, heating, ventilating and air-conditioning systems ("HVAC"),
loading doors, sump pumps, if any, and all other such elements in the Premises, other than those
constructed by Lessee, shall be in good operating condition on said date, that
the surface and structural elements of the roof, bearing walls and foundation
of any building on the Premises (the 'Building' (shall be free of material
defects," (FACC, ¶¶9, 12, 68, 72, 91, Ex. 1 – Lease at p. 1, § 2.2.)

"[T]o the best of its knowledge the
improvements on the Premises comply with the building codes, applicable laws,
covenants or restrictions of record, regulations and ordinances ('Applicable
Requirements')" (FACC, ¶¶9, 14, 69,
Ex. 1 – Lease at p.1, § 2.3.)

Rbabs "has no actual knowledge of
any material physical defects in the Property or any improvements and
structures thereon, including, but not limited to the roof,' with no
exceptions." (FACC, ¶¶9, 17, 70, Ex. 1 –
Lease, Property Information Sheet at p. 1, § 1.)

Rbabs "has no actual knowledge of any
aspect or condition of the Property which violates applicable laws, rules,
regulations, codes, or
covenants, conditions or restrictions,' with no exceptions." (FACC, ¶¶9, 18, Ex. 1 – Lease, Property Information
Sheet at p. 1, § 6.)

The FACC further alleges that, based
on these representations, DWCS entered into the Lease on January 27, 2023.
(FACC, ¶71.) Rbabs intended to deceive DWCS so as to induce DWCS to enter into
the Lease. (Id., ¶92.) As the landlord, Rbabs was under a legal duty to
disclose to DWCS known material facts regarding the condition of the property
including without limitation the defects and deficiencies in the structure of
the property and building systems. (Id., ¶67.) On February 1, 2023,
Rbabs acknowledged that two of the structural pillars at the Property would
have to be replaced, which contradicted the warranty provided by Rbabs in the
Lease as to the condition of the Property. (Id., ¶25.) Thus, Rbabs
intentionally failed to disclose certain facts regarding the condition of the

Property that were known only to Rbabs. (Id., ¶¶68, 73-74.) Had DWCS known the true facts relating to the Property, it would not have agreed to the Lease. (Id., ¶¶75, 93) DWCS has suffered and will continue to suffer substantial harm and damage if the Lease is not rescinded. (Id., ¶¶76, 94.)

Taking these allegations as true, the FACC sufficiently alleges that Rbabs as DWCS' landlord, had a duty to disclose material facts concerning the condition of the Property. The FACC further alleges that Rbabs concealed structural and building system defects with the intent to induce DWCS to enter into the Lease. Also, the FACC alleges that DWCS was unaware of the defects and would not have entered into the Lease if they were disclosed. Moreover, the FACC alleges that DWCS has suffered damages as a result. Although not required for a concealment action, the FACC explicitly alleges the exact representations that were made in the Lease.

Accordingly,
the demurrer to the second and fifth causes of action are OVERRULED.

B.

Fourth Cause of Action for Breach of the Implied Covenant of Good Faith and Fair Dealing

"[T]he factual elements necessary to establish a breach of the covenant of good faith and fair dealing are: (1) the parties entered into a contract; (2) the plaintiff fulfilled his obligations under the contract; (3) any conditions precedent to the defendant's performance occurred; (4) the defendant unfairly interfered with the plaintiff's rights to receive the benefits of the contract; and (5) the plaintiff was harmed by the defendant's conduct." (Rosenfeld v. JPMorgan Chase Bank, N.A. (N.D. Cal. 2010) 732 F.Supp.2d 952, 968, citing BAJI No. 325.)

"A breach of the implied covenant of good faith and fair dealing involves something beyond breach of the contractual duty itself and it has been held that [b]ad faith implies unfair dealing rather than mistaken judgment...." (Careau & Co. v. Security Pacific Business Credit, Inc. (1990) 222 Cal.App.3d 1371, 1394 (internal citations omitted).) "If the allegations do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of

action, they may be disregarded as superfluous as no additional claim is actually stated. Thus, absent those limited cases where a breach of a consensual contract term is not claimed or alleged, the only justification for asserting a separate cause of action for breach of the implied covenant is to obtain a tort recovery.” (Id.)

The FACC alleges, inter alia, that DWCS and Rbabs entered into a contractual agreement for DWCS to lease the Property. (FACC, ¶¶9, 71.) DWCS performed all or substantially all of its obligations under the Lease. (Id., ¶87.) Rbabs violated its duty to act fairly and in good faith toward DWCS as it pertains to the Lease by representing that it was the “Insuring Party,” stating an estimated amount for an annual insurance premium, and agreeing to the waiver of subrogation in the Lease but failing to secure insurance. (Id., ¶88.) Rbabs did not advise DWCS that it had failed to secure insurance and now seeks to hold DWCS liable for damages that DWCS reasonably believed were not available under the Lease. (Id.) Rbabs’ conduct unfairly interfered with DWCS’ right to receive the benefits of the Lease. (Id., ¶89.)

Taking these allegations as true, the fourth cause of action is not duplicative of the first cause of action for breach of contract because it is not premised on the same facts. (See FACC, ¶¶61-63, 87-89.) Specifically, the FACC alleges in the fourth cause of action that Rbabs has interfered with DWCS’ right to not be sued for subrogation by failing to obtain insurance and/or disclosing it did not procure insurance. Contrarily, the FACC alleges in the first cause of action that Rbabs failed to deliver the Property in good condition and/or to immediately correct any defective conditions as bargained for in the Lease.

Accordingly, the demurrer to the fourth cause of action is OVERRULED.

III.

Conclusion
& Order

Based on the foregoing, Plaintiff/Cross-Defendant Rbabs Investments #5, LLC’s Demurrer to the First Amended Cross-Complaint is OVERRULED in its entirety.

Plaintiff/Cross-Defendant

Rbabs Investments #5, LLC must file an Answer to the First Amended
Cross-Complaint within 20 days of this order.

Plaintiff/Cross-Defendant

Rbabs Investments #5, LLC is ordered to give notice.